

THE PULSE

The Scoop #38: A Trend of Fewer Middle Managers?

Also: should we get ready for a major purge of startups this year, and if so: how can you prepare?



GERGELY OROSZ

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The Scoop is a bonus series covering insights, patterns, and trends I observe and hear about within Big Tech and at high growth startups. Have a scoop to share? [Send me a message!](#) I treat all such messages as anonymous.

The Scoop sometimes delivers firsthand, original reporting. I'm adding an '**Exclusive**' label to news that features original reporting direct from my sources, as distinct from analysis, opinion, and reaction to events. Of course, I also analyze what's happening in the tech industry, citing other media sources and quoting them as I dive into trends I observe. These sections do not carry the '**Exclusive**' mark.

Today's topics:

1. **Meta to have fewer managers: insiders' reactions.** The social media giant told staff it will cut down on engineering managers. I talked with current managers at the company to get details on what will happen, why the TLM role will likely surge in popularity, and the challenges EMs will face. **Exclusive.**
2. **New industry trend: less middle management?** Directors and senior managers seem to be taking longer to find their next gigs, while both Big Tech and scaleups seem to be cutting down on these positions. What does this mean for engineering managers and directors-and-above? How can you prepare for this potential industry shift? **Exclusive.**

3. **A potential incoming startup purge and its implications.** We might be facing a swathe of startup acquisitions and the closing-up of shops later this year. My analysis, plus the takes of investors I've talked with. *Exclusive details and analysis.*
4. **Advice for navigating this challenging year at startups.** What are ways you can prepare, if you are at a startup, and how can you make the most of this if you're a hiring manager at a well-capitalized company? *Advice.*

1. Meta to have fewer managers: insider comments

Over the past few weeks, I've been talking with a software engineer at Meta who says CEO Mark Zuckerberg has been repeatedly saying since December that he would like to see fewer managers and more individual contributors (IC). On last Wednesday's (1 February) earnings call, Zuck made this public, saying (emphasis mine):

"Before getting into our product priorities, I want to discuss my management theme for 2023, which is the Year of Efficiency.

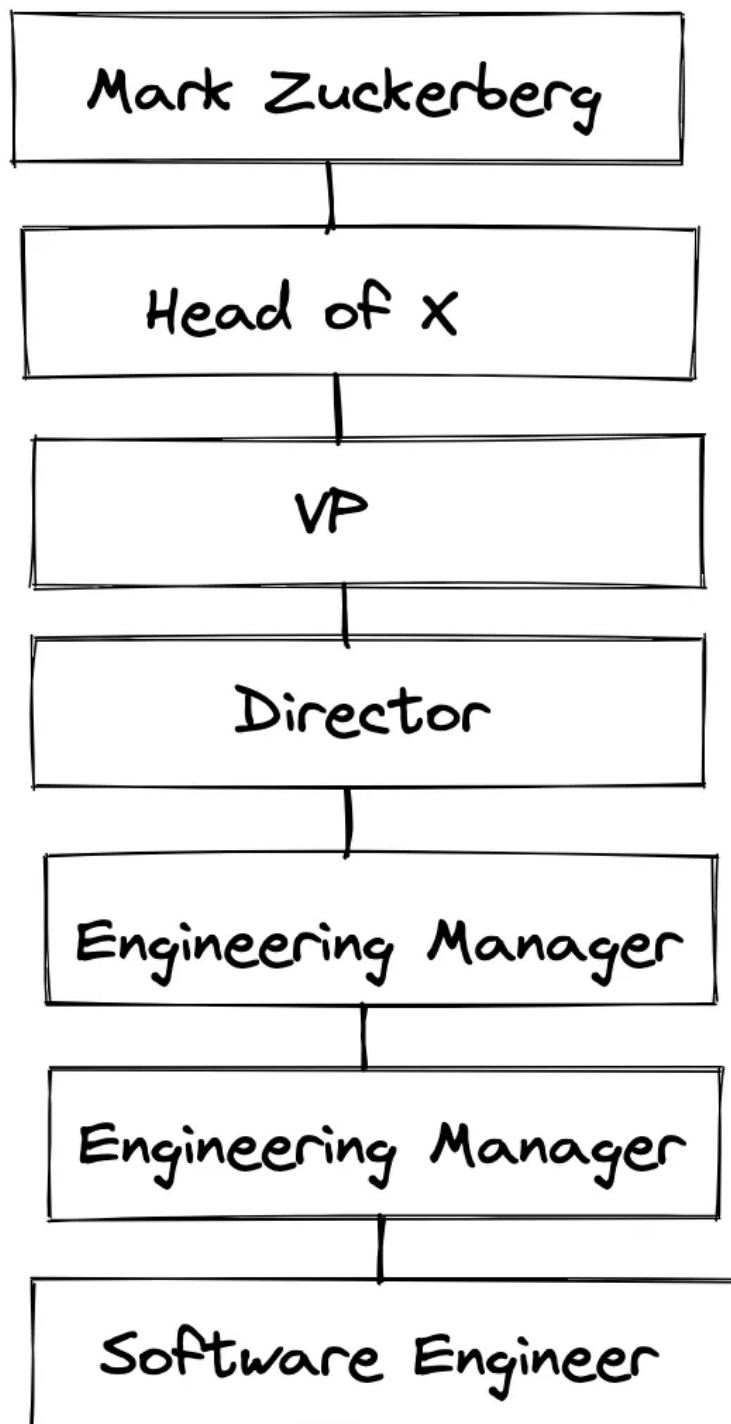
We closed last year with some difficult layoffs and restructuring some teams. And when we did this, I said clearly that this was the beginning of our focus on efficiency and not the end. And since then, we have taken some additional steps, like working with our infrastructure team on how to deliver our roadmap while spending less on CapEx.

Next, we are working on flattening our org structure and removing some layers of middle management to make decisions faster, as well as deploying AI tools to help our engineers be more productive."

This Tuesday, 7 February, Bloomberg [reported](#) that flattening is underway, with managers and directors told to go back to being an individual contributor, or leave the company.

Following the earnings call and Bloomberg's report, I reached out to engineering managers and software engineers to get their takes on this significant change.

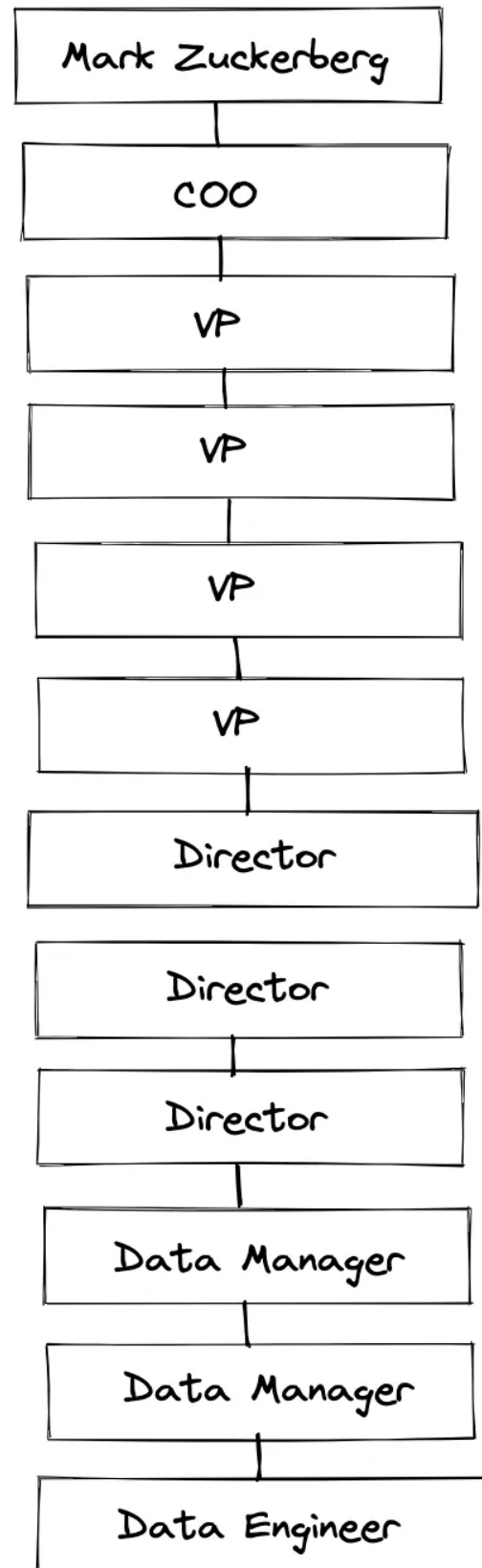
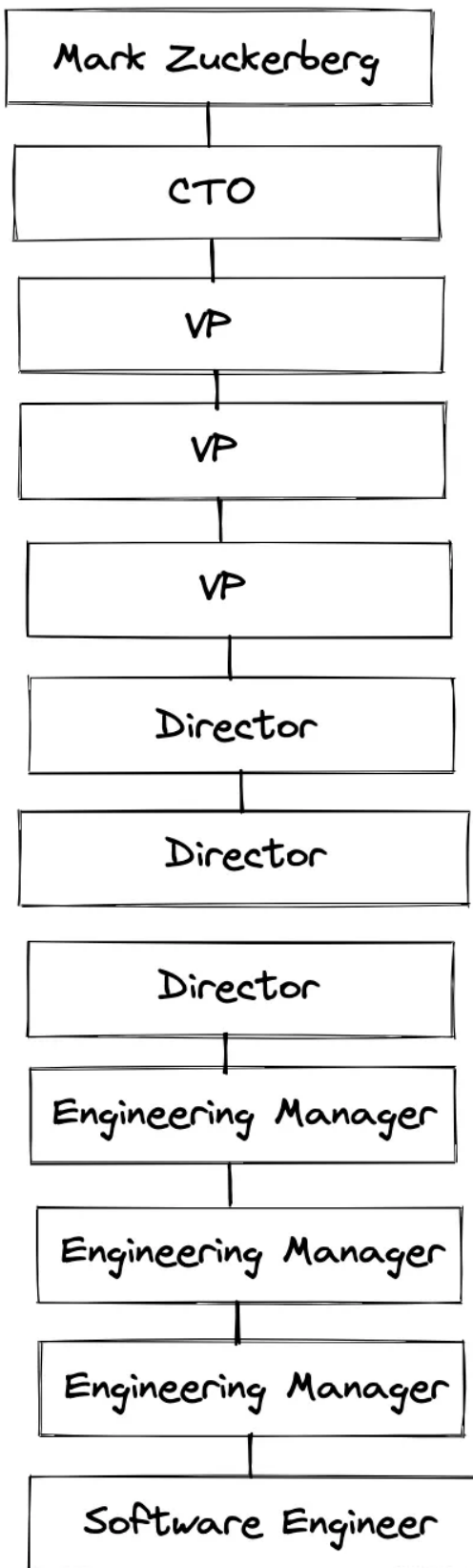
Some organizations within engineering are, indeed, bloated, one software engineer told me. Within leaner organizations, here's what a typical reporting chain of a software engineer looks like. A software engineer is around 5-6 levels beneath Zuckerberg:



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A pretty typical reporting structure within Meta for a software engineer:
5-6 levels away from Mark Zuckerberg

However, there are organizations where individual contributors are as much as 10 or 11 levels away from Zuck. Here's the actual, anonymized reporting chain of both a software engineer and a data engineer with Meta. Both examples are outliers in how deep they are, but they showcase how deep hierarchies can get:



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11-level deep reporting structures at Meta. Deeper reporting structures are more common in some of Meta's larger organizations. 11-deep chains are still outliers, though.

The average "distance" from an individual contributor, to CEO Mark Zuckerberg at Meta is 9 levels (8.9, to be precise), as I learned from insider data at the company.

The goal of this exercise does not seem to be to get managers out. I'm already seeing comments on social media suggesting that Meta is "firing" managers. Having talked with someone at director-level in Meta, this does not seem to be the case within engineering.

The goal of this exercise is to flatten the organization. While this will reduce the number of managers, at least for engineering managers, everyone expects the IC route to be an option.

Some engineering managers will be happy to become ICs. Previously, there was a strong push for software engineers with managerial potential to assume the role, due to the company's fast growth and the fact that managers recruited internally are more likely to hit the ground running.

Based on my conversations, plenty of these engineering managers won't mind returning to being an IC, and some will be very happy to. As a general rule, someone's levels do not change when transitioning to and from a manager role. So when an IC6 transitions to a manager role, they become an M1. And should this M1 be asked to be an IC again, they become an IC6. Here's the table for mapping manager and engineer levels:

Individual contributor level	Manager level	Notes on transitioning back to an IC role
E9 - Distinguished	D2	Exceptionally hard transition.
E8 - Principal	D1	Very hard transition.
E7 - Senior Staff	M2	A challenging transition.
E6 - Staff	M1	The easiest transition: M1s are typically hands-on
E5 - Senior	M0	Used only for internal hires. A very easy transition.

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IC engineering and manager levels mapping. Compensation is about the same at the same level, and it's possible to transition between the two levels – and could be a necessity, for some managers, soon.

For more details on these levels, see the career ladders section of this article, [Inside Meta's engineering culture](#).

What's unique to Meta is how all managers are technical, much more so than in most other Big Tech companies. This shows in the engineering management hiring process that I've [previously covered in-depth](#): candidates must pass a coding test and two design interviews, and then also go through bootcamp, shipping production code as part of their onboarding. In this sense, Meta is in a pretty good position in transitioning managers back to being ICs.

From talking with managers, the consensus seems to be that M1 to E6 is doable, while M2 is very challenging. Above this level, transitioning directors-or-above to become ICs is more likely to mean a role elimination, as E8 and E9 roles have expectations that can be hard to meet, unless a manager was already very technical.

The tech lead manager (TLM) role looks set to regain popularity at Meta, following the org flattening. Meta has always had the TLM role, an engineer who's hands-on and writes code, while managing a small team of 3-5 people.

The problem with this role was that when the company grew fast, TLMs were pushed to manage more people and become EMs. The consensus within Meta was that one should be either a great IC or a great manager.

However, with the engineering organization not growing as fast now, and with a focus on creating a flatter org, the TLM role will undoubtedly make a comeback at the company.

Bureaucracy will need to shrink after the flattening. Engineering managers don't sit around doing nothing. Their work includes:

- Hiring
- Performance management and IC career growth
- Cross-functional alignment
- Compliance work
- Diversity initiatives
- ...and much more

Reducing the number of managers will reduce some of the work that comes with having too many managers. However, some of the inefficient work will also need to be streamlined, but with fewer managers. For example, will performance management be simplified? Shall certain compliance processes be automated? Something will have to give at an organizational level. Perhaps this will be a good way to cut down on unnecessary red tape.

Flattening the organization will make the EM career growth harder. Another outcome of the flattening of the organization is there will be fewer promotion opportunities for managers.

Remember that chart with a VP, reporting to a VP, reporting to a VP. reporting to a VP? Every VP got promoted in that system, where there was no expectation for managers to have at least some reports, or for the organization to be "flat."

In the new, flatter Meta, there will undoubtedly be fewer manager promotion opportunities, and going from M1 to M2, or M2 to D1, will be more challenging. Managers I've talked with believe that people will surely figure out strategies. But it could also mean more manager attrition: for example, an M2 leaving for a Director position – and compensation package – at another Big Tech company, after failing to get promoted at Meta, due to lack of opportunity.

The real problem Meta will have with org flattening is likely to be outside of engineering, though. Within engineering, it's common for engineering managers to have around 10 reports, which makes engineering a relatively flat organization. However, outside engineering, it's almost unheard of an M1 to have 10 reports: they usually have much less.

Areas like Product, Data, Design are likely to see more managers being asked to go back to being ICs, than will be in engineering.

2. New industry trend: less middle management?

It's not just Meta that's cutting middle management positions. I've been gathering signals which point to engineering managers who are middle management, meaning they manage managers or above, starting to struggle to find new positions.

Several other companies also seem to be eliminating middle management positions. One of the first things Elon Musk did after buying Twitter was have managers go back to being ICs, and mandating that engineering managers have at least 20 reports and also spending at least 20% of their time coding. Although this approach is at the extreme end of the spectrum – I fail to see how managing 20+ people and also coding would not cause burnout symptoms – I have observed other companies follow suit in reducing layers of middle management.

When Sourcegraph cut staff in June, no engineers were let go. However, 5 directors in Product and Engineering were let go to achieve a healthy and efficient doer-to-manager ratio.

The search for director positions is taking longer. Three months ago, a director of engineering based in Canada applied and got accepted into my [talent collective](#). This talent collective is a two-sided marketplace in which to recruit and to get hired. More than 60 companies are in the collective, but this director of engineering was getting no reach outs from companies also in the collective.

This grabbed my attention. The way the collective works is that companies can post job ads, but generally they use it to identify promising candidates in the pool of ~1,000 engineers and managers. So why was this person getting no reach outs?

I talked more with this director of engineering, who shared her observation that more leaders like her are applying for roles a level below where they currently are; for example, a VPE applying for a director role, or directors applying for senior engineering manager roles. This director interviewed with 4 companies, got positive feedback from 3, but none made an offer and closed the roles without hiring anyone. One of these companies laid off 17% of staff shortly afterwards, including several directors of engineering.

'Scaling up' an org is no longer the focus of many engineering leaders. I talked with tech executive mentor [Anton Drukh](#), who mentors CTOs, VPs of engineering, and others. (He is also one of [several engineering leadership coaches I recommend](#)). I asked him what the biggest change in requests for advice has been, over the past six months. His answer:

"The 'how do I scale my org fast' concern, which was top of mind in 2021, has completely switched. Most companies are focusing on the efficiency of their Engineering org. On how to make sure that the business goal of reducing the burn rate while reaching for an effective business model is best supported by engineering.

There is now a lot of talk about what to measure and how to do so, and how to structure the org for efficiency. Another topic that comes up: what to do with all the 'free time' leaders now have as they are not hiring as much!"

Talking with Anton made it more clear why some leaders are finding it harder to get their next director of engineering or VP engineering position: fewer scaleups or other types of company need it. Director and VP positions are especially useful when scaling up an engineering team, or preparing to scale it up. However, at companies where hiring has slowed or stopped, there is no such need for this position.

If you are in middle management, what can you do to prepare for a likely decrease in demand for this role? It looks like that after a growth phase in investment and hiring, middle management positions will be less in demand, especially across startups and scaleups which aren't high growth any more.

If you're a manager of managers, what can you do to prepare for a changing market? Here's a few things:

- Keep your network warm. If you ever want or need to change jobs, your network is the surest way to do this. Keep meeting peers at your company and outside in the industry, get to know them, help them. Pay it forward by mentoring and helping others, share your knowledge and expertise in ways that help others.
- Stay technical. Even though there could be less demand for middle managers at scaleups, technical managers who can be hands-on are always in-demand. Dive into the details of your engineering team's work and make sure you understand it, keep up with technologies, and stay curious and keep learning about technology, not just people.
- Consider if you want to keep going "up", or if you want to take a step "down." If you are a manager of managers, there might be opportunities to go back to being a line manager. In an industry where growth is high, this move would make little sense. However, knowing there is more demand for line managers than for middle managers could make it a sensible step.

If you are considering becoming a manager of managers, be aware of how demand for this position is changing. Taking a promotion is always a great step in progressing your career. However, know that with every level up, there are also fewer openings for similar roles.

In December, we covered how hiring managers saw the market. A senior EM in Boston noted precisely this observation, [saying](#):

"As a hiring manager, looking to fill an entry-level engineering manager role (EM1,) I am seeing a lot of 'overqualified' candidates; folks who could easily be a director-or-above at a lot of other companies looking for lower titles and extra stability.

Middle management feels like a very risky place right now. This is me reflecting on my own role. It is easy to think 'why do we need so many managers?!' When you look at who to cut, I try to keep that in mind with my own role."

3. Mass extinction event coming for startups with no product-market-fit?

I've been observing a few trends around pre-seed and seed-stage startups, both through some of [my investments](#) and talking with fellow angel investors:

- Startups that raised Pre-seed or Seed rounds in 2020-21 are running out of money.
- Many of these startups have not yet found *convincing* product-market-fits (PMF.) They have a product but not enough customers, or can't retain enough of them.
- Startups with no PMF and facing financial pressure have two options: pivot and hope for a PMF, or try to get acquired.
- Acquire opportunities seemed to have dried up, so some startups are shutting down.

I sense early-stage startups are struggling a lot more than previously because getting a follow-up investment round (Series A) is now much harder. It's also harder to get acquired by another, larger company, than it was.

I'm not alone in this observation. [Tom Loverro](#) is a general partner at VC firm [IVP](#), an investor in Coinbase, Datadog, Slack, Snap, to name a few. Tom looked beyond what's happening now and has predicted a looming "mass extinction event" for startups in the early-and mid-stages:



Tom Loverro
@tomloverro

PREDICTION: There's a mass extinction event coming for early & mid-stage companies. Late '23 & '24 will make the '08 financial crisis look quaint for startups. Below I explain when, why & how it will start & offer *detailed advice to founders* on surviving the looming die-off. /1

4:59 PM · Jan 31, 2023

6,071 Likes 893 Retweets

In this thread, Tom argues:

- Most startups raised ~2 years of funding in 2021-22.
- Most reduced burn (usually via layoffs) last year to extend their runways.
- But no matter what, these companies need to either raise in late 2023 / early 2024, sell by then – or go bankrupt.

Tom predicts that late 2023 / early 2024 will “be worse than the Great Financial Crisis of 2008-9 for venture-backed startups.” Tom closes [the thread](#) with advice to startup founders, emphasizing that it’s more important to focus on survival than valuation, at this time.

It’s not just Tom who’s predicted a large wipe out is coming. [Ed Sim](#) is a partner at boldstart ventures, a VC firm investing in early-stage, developer-first, infra, crypto and SaaS companies. In December 2022, Ed [summarized](#) his predictions for this year, including this (emphasis mine):

“Lots of startups who raised capital in the height of the market will shut down as there are no more acquihires. There will still be some strategic acquisitions of startups but those will be few and far between until founders and investors adjust their price expectations.

On the acquihire front, the amount of talent available to employers is only increasing which makes acquihires less necessary. In addition, many companies are reducing

burn, so paying cash for a team when talent is plentiful makes little sense, as it only increases burn. Hence, it's going to get ugly in 2023 on this front, especially as heads of corporate development whom I've spoken with during the last 3 months tell me to take a ticket and get in line because there's more companies banging on their doors than they've ever seen.

One bright spot could be that some startups get rolled into larger companies with private equity (VC)-backed sponsors. Either way, founders, find a way to control your own destiny."

I talked with Ed for more details on what he's seeing in the market. This is what he shared:

"There's a lot going against already funded, enterprise-focused (B2B), Seed-stage startups.

1. The bar to get to a Series A round has materially changed. Today, companies need much more traction, and a much better story to get this investment round.
2. Some startups raised at an overly high valuation in 2021-22. These companies need to get back to reality on what valuations today are. Raising at an overly high price to start with can now become a mistake that is harder to correct.
3. Many startups raised at high prices from multi-stage VC firms. These multi-stage firms viewed the Seed investment as having the option to later invest. However, these same VC funds have triaged their portfolio and are focusing where they wrote the largest checks, leaving these initial seed bets to die.
4. Enterprise budgets for innovation-related investments are cut back.
5. No more acquihires. There is so much talent "on the street" now that these make less sense. It's also hard to justify an acquihire when so many companies are cutting ~10% of staff. The very rare exception is if the technology is amazing, and a perfect fit. M&A departments I've spoken with are overloaded with startups knocking on doors who are looking for a buyer.

6. Private companies acquiring a private company is a deal that is even harder to get done. Right now, no one can agree on the valuation. Plus, few companies want to add more to their burn via a hire, as they're all trying to get more efficient.

7. Sadly, way too many "me-too" companies got funded during the funding boom of 2020-21. These are companies that were taking an existing idea and copying it, in the hope it would stick. It's not an ideal situation, but the industry as a whole will be more efficient, coming out of this."

What's going on inside of VC circles? Ed offers a glimpse of the challenge of dealing with an economic downturn:

"A lot of VCs are shy at the moment: they are still healing some of their wounds from the poor performance of some of their companies. This is probably the first downturn many of these investors have seen. It can be hard to adjust from a situation of taking a company through 3 up rounds (3 rounds of increasing valuations), and that company looking like the biggest winner in its cohort, and now this company could be a large hole in your portfolio's performance, assuming a downround or a valuation cut happening. It's especially hard to snap out of this thinking and focus on why said company *will* be world-changing, a few years from now.

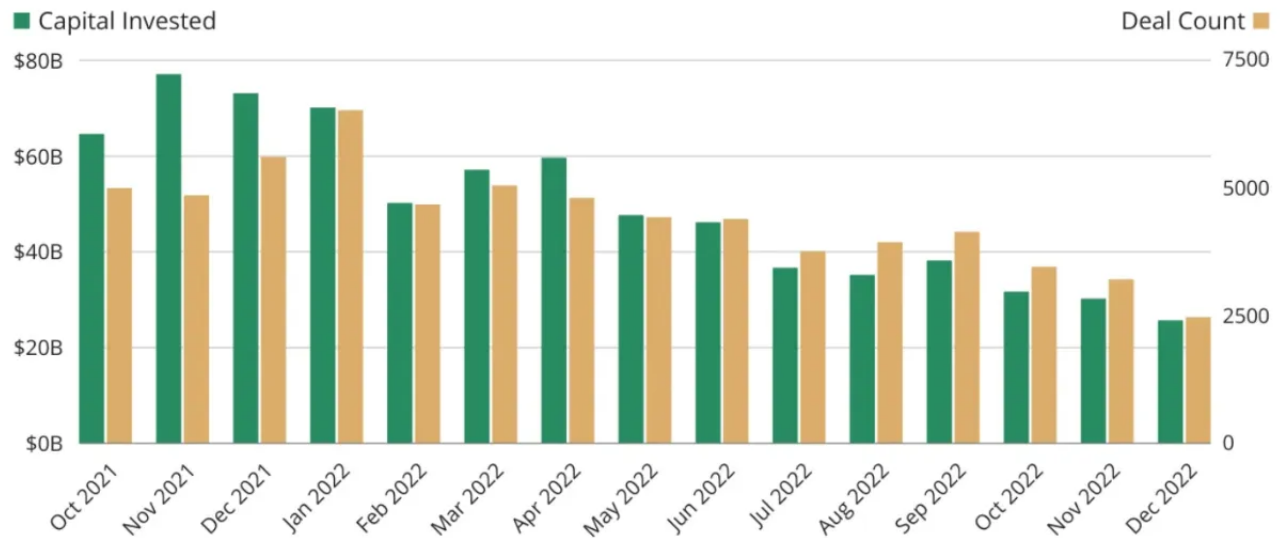
Investors who can shake off this current feeling of uncertainty will, however, find amazing founders who are building incredible things!"

Venture funding has been steadily trending downwards which paints a grim picture of what might be ahead. Fellow newsletter author **Eric Newcomer**

visualized the amount of venture capital invested in the past 14 months in his article, [Ten charts that explain the 2022 pullback](#). The trend is downwards, very clearly:

Venture Investment Steadily Decreasing

Total capital invested in venture deals since Q4 2021



January 2023
via Pitchbook

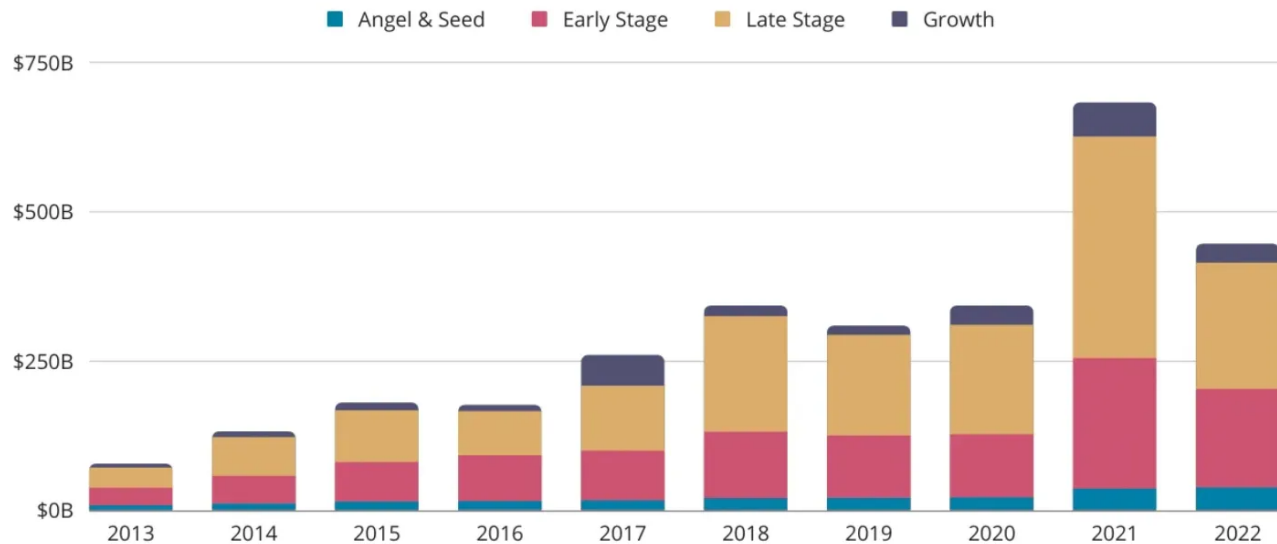
{NEWCOMER}

*Venture capital deployed has steadily decreased the past year. Source:
Newcomer / Ten charts that explain the 2022 pullback.*

In the same article, Newcomer asks the question: could it be that 2022 was actually a "return to normal" year and 2021 was just crazy? Looking at the amount of capital invested, it's plausible:

Venture Volume Tracking With Pre-2021 Trends

Total invested globally in series A and later by year



January 2023
via Crunchbase News

{newcomer}

2021 saw unusually high VC investments. Source: [Newcomer / Ten charts that explain the 2022 pullback.](#)

The problem with the 2021 spike and its failure to continue through 2022, is that early-stage VC investments typically need late-stage follow-ups. Startups which haven't found a PMF will likely shut down.

"The founders we tend to back are ones who we call as all steak and not sizzle: they are building for the right reasons, solving a problem they repeatedly face that needs solving. And they are hands-on in solving this problem: write code and get solutions in place! This is, for example, what the founder of Snyk did, as have many other founders who we backed.

I still do believe this is the best time to start a company. Founders have to truly be insane and on a mission to start one in this environment which makes for the best companies. In addition, there is less competition from other startups, more access

to talent, and when markets do recover in next 12-24 months, they will have a product ready to go."

4. Advice for navigating this challenging year at startups

As a software engineer or engineering manager, how can you prepare for the potential struggle ahead for startups still seeking a PMF?

If you're working at a startup, figure out how "at risk" your company is of a possible shutdown event this year or in early 2024. Some questions that can help answer this:

- *Does the company have product-market fit?* Does the product solve customers' problems? Are there customers who use the product and are happy with it? Are there paying customers?
- *Does the company have a strong product-market-fit? Be honest: how strong is the PMF? How big is the customer churn? How long do customers stick around for? Do they recommend the product, thereby attracting more paying customers?*
- When does your company's runway run out? If it's 2025 or later, there's extra time to find that product-market fit.
- How much revenue is the company generating? How much is it growing by, compared to costs?
- Does the company have a path to profitability, without doing another investment round? Traditionally, startups raise multiple rounds of investments before achieving profitability. It's worth understanding if your company *needs* to raise at least one more round. If the answer is "yes," know roughly when this investment will be required. This is because if the company cannot raise and revenue growth is sluggish, it will either have to cut costs or look for a buyer.

If you ascertain you're at an "at risk" startup, decide how comfortable you are with this, versus searching for a more stable place before trouble hits. There's an inherent link between risk and reward, which is especially true if you've been granted a healthy [equity package](#), which could turn into good compensation, should the company have a good exit.

Your risk tolerance will vary based on your circumstances like family, savings, your preferences and how at risk you deem your startup is, based on the wider competitive environment. Don't forget that the threat of failing and building something that succeeds against the odds tend to go hand-in-hand: some of the biggest startup success stories usually had times when a triumphant outcome looked far from certain.

On the other hand, there are signs that plenty of early-stage startups are doing just fine with their runways. I reached out to early-stage investor [Harry Stebbings](#) who runs the [20VC fund](#) and podcast, to ask if he's seeing any signs of a trend of startups running out of cash. He told me:

"Not at all. I am seeing so many companies with runways till 2025 and so their execution is completely unchanged."

In a year or two's time, the VC funding environment will surely be different and there's plenty of scope for investment to start going up instead of down, by then.

Startups that can raise funding in this environment are likely to be in a strong position. I've observed investors to double down on the "winning" startups in their portfolios, and not be shy about writing large investment checks, even when revenue doesn't appear to warrant it, yet.

For example, I know of one B2B startup which raised a Seed round of \$3M on a \$15M valuation in 2021. The company found its product-market fit almost immediately and growth took off. During 2022, the company had only around \$1M of annual recurring revenue – quickly growing – and the lead investor of the Seed round put in another \$30M on a \$300M valuation.

Taking a step back, this valuation might make little sense considering the *current* numbers of the company. Ed Sim gave me a little context on why doubling down on a category winner can still make sense for the investor, though:

"In order to drive big returns, VCs need as much ownership as possible in their biggest winners. The easiest time to get in is when the company is still in its early stage. Investments at this stage give VCs a very strong option value, and so doubling down on winners is a very sensible strategy."

The bet that many VCs have is how their Series A and Series B rounds can grow into their current valuations, before the next funding round."

Going forward, working at a startup is going to be less "safe" than it used to be.

Until now, investors have not valued a tech startup's ability to become profitable quickly. Instead, they valued its capability to grow, and left figuring out profit for later. But expectations have shifted. Startups which don't generate much revenue, or are miles from turning a profit, could find fundraising is harder.

I talked with software engineers who've been burnt by this shift in investor expectations, and the necessary response from the company. A Series B startup was building interesting engineering challenges in the B2B field, and recruited a strong engineering team to rally around it. The business last raised a big funding round just prior to 2021. That funding was meant to be sufficient for 2-3 years, and the company started to hire very aggressively.

However, it had not found a real product-market-fit and was making relatively little revenue. A third of staff were let go in mid-2022 in order to extend the runway until mid-2024. Six months later, the company let go another third of staff, in order to lengthen the runway into 2025. By then, the company needs to have found a strong product-market fit, with strong revenue growth to prove it. Failing this, the options are to cut more costs and staff, or get acquired by another company.

The software engineers talking to me said they had no idea the financials would become so important, when they joined. Everyone focused on the interesting engineering challenges, the healthy and very modern engineering culture, and benefits like full-remote work, great compensation and a strong equity package.

But every startup *is* risky by default, and many will fail and be shut down. However, between 2010-2022, a tech startup failing would often be less painful as it would be acquired by another company – or at least its software engineers would be. Even at Fast – the startup which raised \$100M and went bankrupt a year later – most of the engineering team was taken over by Fintech Affirm. *We dive deep into Fast in the issue, [Inside Fast's rapid collapse](#).*

If you're a hiring manager or decision maker at a well-capitalized company, know that 2023 will likely be a year when it's easy enough to hire strong and capable engineers because, unfortunately, many of them will be let go by struggling companies.

This year, it will also be much easier to do acquihires, with more startups looking for a buyer than ever before. An acquihire can be a win-win for companies looking to buy a well-oiled team to work on a problem space. In the past, it was also a way to hire strong software engineers and product-minded developers. However, this second use case is less likely to be relevant, as we can expect more software engineers to be in the jobs market, anyway.

If you're in a position to think of an acquihire, know you're not alone. Acquisitions – which also include acquihires – are trending upwards. Here's some data for Europe, where last month acquisitions hit a two-year high, as per data from Sifted:

No. of M&A deals involving European startups completed per month, 2020-2023



Startup acquisitions are becoming more frequent across Europe. Source: Sifted / Dealroom

Takeaways

Meta is reducing its number of managers and this will impact engineering managers. The company has hired very technical managers, so plenty of them should be able to go back to IC roles, should they decide to. At M2-and-above roles, this transition could be very challenging and it's likely that the TLM role will become more popular at the company. And even though Meta will flatten its organization, there are open questions they'll need to solve, such as which processes to simplify or remove, and figuring out how to treat manager promotions within a much flatter organization.

There's a definite trend for fewer middle management positions being open across software engineering. Keeping your network warm, staying technical and considering career advancement – perhaps even a step down to line management – are all ways to prepare for a potential industry-wide shift.

While Big Tech layoffs have dominated recent news headlines, we could be seeing something just as bad happen towards the end of this year: a surge in early and mid-stage startups and scaleups going bankrupt, having failed to raise new funding or get acquired. In today's issue, VC Ed Sim shared his observations from within the enterprise VC market. Ed writes a free, weekly newsletter called

What's Hot in Enterprise IT/VC and you can subscribe to it here (I do):

If you work at a startup, how will you navigate this period, which could be very challenging for many businesses? The best thing is to understand how "risky" your startup is. Does it have product-market fit? Is there a runway up to 2025? Is it a "winner" in its category, with investors likely to double down on it?

Once you figure out what position your company is in, decide what your own appetite for risk is. If the risk looks too big, look around on the market for more stable opportunities, or for startups with longer runways. *If you are looking for opportunities, or looking to hire, also consider [The Pragmatic Engineer Talent Collective](#). It's free to apply as a candidate. As a newsletter subscriber, [you can get 25% off packages](#) when hiring.*

Do you have tips, scoop to share, or feedback on this issue? [Send me a message](#). I treat all sources as anonymous.



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9 Comments



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Aaron Erickson · Writes 2024 · Feb 9 · ❤️ Liked by Gergely Orosz

The non technical middle and up managers in the management chain are in for a super rough ride, and honestly, most of them aren't fits for the roles they were hired into. There are some exceptions to this, but I would expect a non-technical middle manager to be outstanding at something else, perhaps is great at product and the business side enough to make up.

But even then, with the "good at something else middle manager", someone like that needs to go into the proper reporting chain for that something else (product, bizops).

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Karthik Taduvai · Feb 11 · ❤️ Liked by Gergely Orosz

What does this mean for engineers who wants to become managers? Should they expect a tough career path? Is it better for them to choose IC track over management track?

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2 replies by Gergely Orosz and others

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